

**Time:** 5 minutes**Outcome:** Recognize when equivalent choices produce different decisions because of their description.**Difficulty:** ●○○ Beginner

Framing Effects



THE CORE IDEA

A framing effect occurs when different presentations of economically equivalent information change choice. Gain and loss frames can draw attention to different features even though costs, probabilities, and consequences are unchanged.



HOW TO RECOGNIZE IT

- First verify that the underlying alternatives are economically equivalent.
- Compare gain wording with loss wording, such as survival versus mortality.
- A choice change caused by presentation, rather than different outcomes, indicates framing.



WATCH OUT

Framing requires equivalent underlying alternatives. If costs, probabilities, or consequences actually differ, a different choice may be rational rather than a framing effect.



WORKED EXAMPLE: SURVIVAL VERSUS MORTALITY

A treatment is described to one group as having a 90% survival rate and to another as having a 10% mortality rate. The probabilities describe the same outcome. If acceptance changes merely because one statement emphasizes survival and the other emphasizes death, the wording—not an economic difference—changed choice. That response is a framing effect.



CHECK YOURSELF

A fee is described either as a \$5 surcharge or as losing a \$5 discount. If the net price is identical, what mechanism may change choice?

**READY?**

Return to the game and master this concept.